decision at the board of the agency. Only the board should be able to release a new regulation.

Public choice theory predicts that the staff of a regulator will favour arbitrary power in the legislative and executive functions. Hence, the parliamentary law which defines the regulator must write down the processes of regulation-making, licensing, investigation and prosecution in considerable detail. At an early stage of state capacity, the regulator must be given low powers of investigation and punishment, so as to protect the feedback loops of the push-back against regulatory actions from the economy. Where regulators are powerful, private persons are meek, and fail to criticize the work of regulators, which ensures low-quality work by regulators.

Difficulties of the Indian experience

The Indian experience with financial economic policy features many important deviations from this normative depiction.

Prior to 2015, RBI had no objective, and as public choice theory would predict, many infirmities were observed. The prime function of the central bank is to deliver low and stable inflation. However, India has a long history of high and unstable inflation. From 2015 onward, a formal objective—an inflation target—was placed upon the RBI. This has helped anchor the Indian rupee and has created an accountability mechanism for RBI. [6]

RBI independence has, however, not been achieved, as the RBI governor effectively controls the Monetary Policy Committee. There is thus the possibility of pressure upon this one person (the governor) to cut interest rates, by the ruling party, in the year leading up to the elections. In addition, the Ministry of Finance has the power to give directions to RBI on any subject, without any transparency.

The work of financial regulation is spread across RBI, SEBI, Insurance Regulatory and Development Authority of India (IRDAI) and PFRDA. All